Good intention undone by poor implementation. That has been the story of the Goods & Services Tax (GST) in India since the first Narendra Modi government introduced it in July 2017. Eight years on, India's GST remains among the few globally with multiple slabs, breeding complexity, misclassification and the potential for dishonesty. At the SKOCH Summit in New Delhi in November 2024, M. Govinda Rao, economist and former member of the 14th Finance Commission, had said, "Globally, GST is considered a money machine. The best practice is a broad-based, low-rate, simple and transparent GST system. While political constraints may prevent a single rate, reducing the number of rates would bring clarity and efficiency."

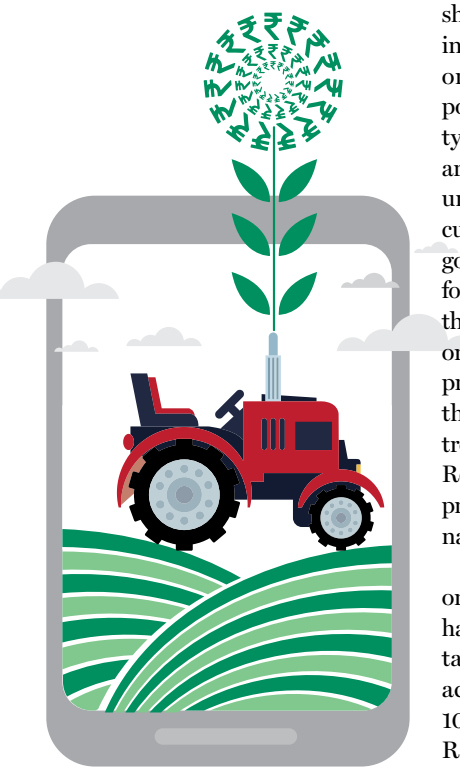
At present, the GST structure is built on five slabs—0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent, with special rates for certain items like precious metals and additional cess on sin goods. While the 5 per cent slab applies to 21 per cent of the items in the GST list, the 12 per cent slab on 19 per cent, 18 per cent on 44 per cent, the highest slab of 28 per cent operates on 3 per cent of the items. The confusion arises when different rates apply on the same product with value addition.

With multiple slabs breeding complexity, the government needs to rationalise GST, simplify the filing process

The government has been spelling out its intention to rationalise the rates, setting up a group of ministers for rate rationalisation as far back as September 2021. But there has been no movement yet. "The rationalisation was not just to bring the rates down. It was also to make sure that where you have 0, 5, 12, 18 and 28 per cent slabs, we can drop one of the rates, 18 or 12 or whatever and move those to the closest possible rate...," the FM said in a post-budget media interaction.

STREAMLINE PLEASE

Madan Sabnavis, chief economist with Bank of Baroda, points to the many complications businessmen face while filing GST, which he says needs to be streamlined. "People expect the rates to come down. However, since the GST has been effective in garnering income, the government may not be in a hurry to do any revamp," he says. It will need to first understand if lowering rates will still get high collections. That said, more and more small and medium enterprises are getting integrated into the GST network. "So we do not know how much of the higher collection is due to better compliance and how much due to the intrinsic growth of the economy," he adds. Meanwhile, the government needs to urgently do away with some slabs, expand its base and leverage digital tools to address inefficiencies. ■



shift towards self-sufficiency in the 9,268 farmer producer organisations (FPOs) and policy support for community-owned agriculture. These are necessary preliminaries to untie the knots holding agriculture back. Meanwhile, the government has to build scale for the e-NAM network across the country—it now connects only 1,410 of the APMC and private mandis—and expand the capacity to use the Electronic Negotiable Warehouse Receipt (eNWR) as a financial product so that farmers have a nationwide market.

But in the past five years, only 4,000-odd warehouses have been onboarded to facilitate this, with overall transactions hovering at some Rs 10,000 crore. Now, after an RBI push, NBFCs and banks are accepting eNWRs as collateral in transactions. Public private partnerships will also be needed to accelerate investment in warehousing, cold storage and food processing. For this, some of the provisions in the Essential Commodities Act (ECA), originally devised to check hoarding and price manipulation, will have to be eased. A network of storage units, along with graduation of eNWR as financial instruments, may give the farmer control over the price of his crop. Eventually, it'll allow the government to step aside, let the cooperatives, FPOs and food companies do the trading, rather than itself 'grandfathering' transactions.

Top of the list are reforms in the laws governing the agricultural produce market committee mandis

ONE MORE PUSH

To give the government credit, the states have been pushed to amend their APMC Acts to include provisions for contract farming (where buyers and the farmer agree beforehand on the produce). The government still has to make up its mind on Direct Benefit Transfers (DBT) instead of subsidies on fertilisers, electricity and irrigation. The laundry list also doesn't contain the interest subvention for agri loans and agri insurance. ■